

day to day, coincided with the recorded fluctuations of the twelve stocks originally chosen.

DOW-JONES AVERAGES THE STANDARD

The Dow-Jones average is still standard, although it has been extensively imitated. There have been various ways of reading it; but nothing has stood the test which has been applied to Dow's theory. The weakness of every other method is that extraneous matters are taken in, from their tempting relevance. There have been unnecessary attempts to combine the volume of sales and to read the average with reference to commodity index numbers. But it must be obvious that the averages have already taken those things into account, just as the barometer considers everything which affects the weather. The price movement represents the aggregate knowledge of Wall Street and, above all, its aggregate knowledge of coming events.

Nobody in Wall Street knows everything. I have known what used to be called the "Standard Oil crowd," in the days of Henry H. Rogers, consistently wrong on the stock market for years together. It is one thing to have "inside information" and another thing to know how stocks will act upon it. The market represents everything everybody knows, hopes, believes, anticipates, with all that knowledge sifted down to what Senator Dolliver once called, in quoting a *Wall Street Journal* editorial in the United States Senate, the bloodless verdict of the market place.

DOW'S THEORY, APPLIED TO SPECULATION

... Dow's theory of the stock-market price movement ... could be summed up in three sentences. In an editorial published December 19, 1900, he says, in *The Wall Street Journal*: